

Natural Gas Comment: Preliminary Signs of Asia LNG Demand Recovery Keep Risks to 2H26 TTF Skewed to the Upside

- We have argued that weak Asia demand for LNG has bought Europe time. The lower the LNG imports in places like China, South Korea and Japan, the higher the LNG volume available to go to Europe, with this dynamic ultimately limiting the risk premium embedded in TTF prices.
- However, because we expect LNG imports to rebound in China and South Korea in particular relative to this spring's lows, driven by summer demand and storage rebuilding, we have argued that risks to TTF (and Asia LNG) prices remain skewed to the upside, should the Hormuz disruption linger.
- With two weeks of data now available for May, we see Asia LNG demand starting a path to recovery (Exhibit 1), with the current four-week-moving average (4wma) of LNG imports running 4 mtpa above our 225 mtpa May expectations. This reinforces the upside risks we see to our 44/40 EUR/MWh (\$14.90/\$13.65/mmBtu) 3Q26/4Q26 TTF price forecasts (to 65/53 EUR/MWh) in a scenario where a Hormuz flow normalization is delayed to late-Jul (vs our late-Jun base case):
 - **China imports on the rise.** While China LNG imports remain down yoy, that gap is narrowing as imports rise sequentially. The four-week-moving average for LNG imports is at 48 mtpa, well above the 36 mtpa March average (Exhibit 2). We expect further upside to imports from here (including 3Q26 at 67 mtpa) to allow China gas inventories to build to levels slightly above last year's ahead of the next winter.
 - **South Korea imports on the rise.** We see a similar pattern (though in smaller scale) of rising LNG imports in South Korea, as we move away from shoulder season and closer to summer. The four-week-moving average for LNG imports is at 42 mtpa, above the 39 mtpa April average and our 40 mtpa May expectation.

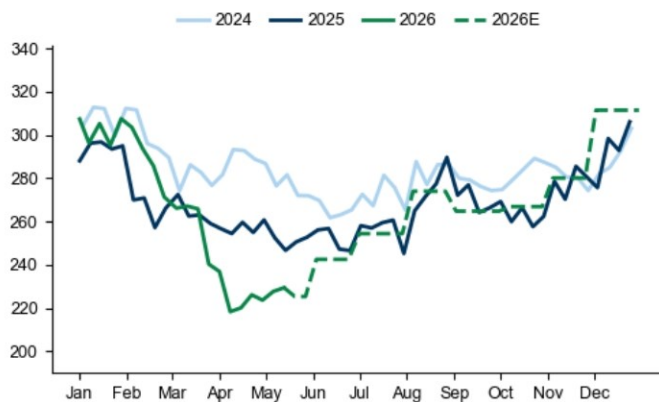
Samantha Dart
+1(212)357-9428 |
samantha.dart@gs.com
Goldman Sachs & Co. LLC

Laura Cyr
+1(212)934-1001 | laura.x.cyr@gs.com
Goldman Sachs & Co. LLC

- **Asia LNG prices firming up.** The rise in Asia LNG demand is reflected in the strengthening of the JKM premium relative to TTF in May (\$1.87/mmBtu) vs April (\$1.59), which also holds when we take into account the month-on-month change in LNG shipping costs ([Exhibit 3](#)). This is consistent with a stronger Asia appetite for LNG cargoes vs last month¹.
- We note that Japan LNG demand has weakened (4wma currently at 44 mtpa) relative to our expectations (48 mtpa for May), though we see this as temporary ([Exhibit 4](#)). We believe weak Japan LNG imports have been driven by a combination of warm April weather, increased coal utilization, low operating rates at chemical companies due to reduced feedstock availability, and comfortable LNG inventories allowing for temporary destocking. With cooling demand for power set to rise seasonally from here, however, we expect higher Japan gas usage and LNG inventory builds ahead of peak summer to limit any further yoy drop in Japan LNG imports ([Exhibit 5](#)).

Exhibit 1: Asia LNG imports have started to rebound, which we expect to continue into summer...

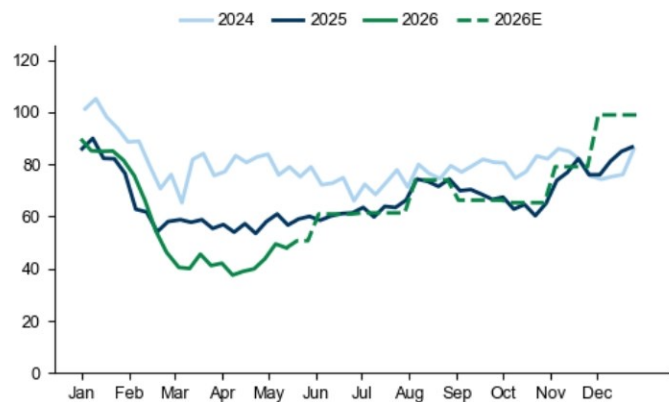
Asia LNG Imports (4wma), mtpa



Source: Kpler, Goldman Sachs Global Investment Research

Exhibit 2: ...including a similar rising path for China LNG imports

China LNG Imports (4wma), mtpa

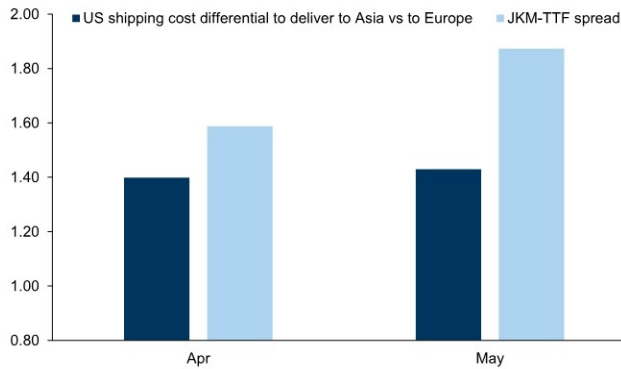


Source: Kpler, Goldman Sachs Global Investment Research

¹ It is always cheaper for an Atlantic-basin-produced LNG cargo to be delivered in the Atlantic basin than in Asia due to shorter travel times. As a result, for Asia to attract flexible Atlantic-basin-produced LNG to be delivered in the Pacific basin, JKM has to price high enough relative to TTF to cover that shipping cost differential. A stronger JKM price relative to TTF - as we see now - suggests Asia is trying to attract incremental LNG cargoes sourced in the Atlantic basin (as Asia does not produce enough LNG to meet Asia's demand).

Exhibit 3: The JKM-TTF spread has increased relative to shipping costs, signaling a stronger Asia appetite for Atlantic-basin-sourced LNG

Shipping cost differential for US LNG suppliers to send a cargo to Asia vs to Europe vs JKM-TTF spread; \$/mmBtu

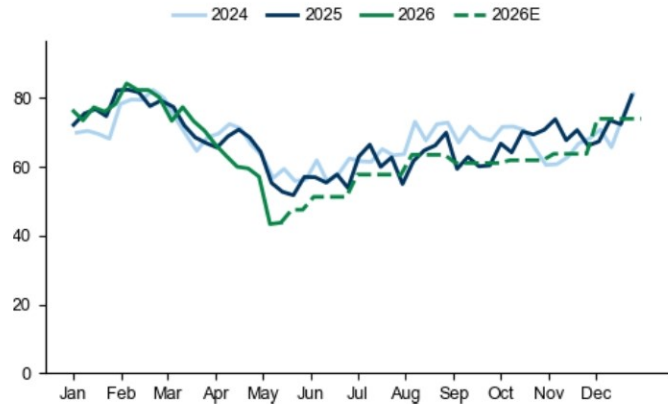


US shipping cost differential to deliver LNG in Asia vs in Europe calculated based on the S&P Global Commodity Insights daily published full shipping cost by route.

Source: ICE, S&P Global Commodity Insights, Goldman Sachs Global Investment Research

Exhibit 4: Japan LNG imports have weakened...

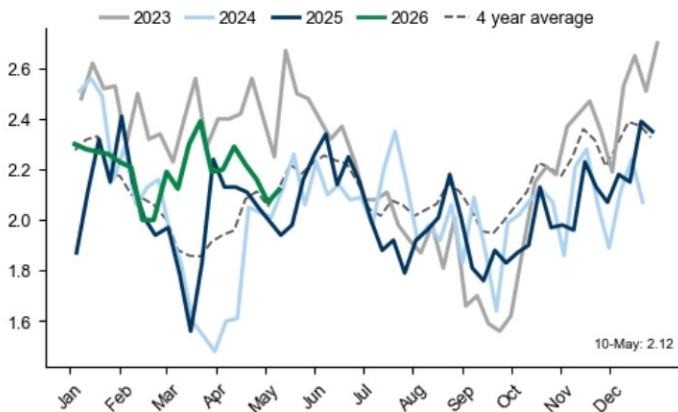
Japan LNG Imports (4wma), mtpa



Source: Kpler, Goldman Sachs Global Investment Research

Exhibit 5: ...but we see the need to build storage ahead of peak winter limiting further downside to imports

Weekly Japan LNG storage data, mil mt



Source: S&P Global Commodity Insights, METI, Goldman Sachs Global Investment Research

Team Natural Gas

Samantha Dart

+1(212)357-9428
samantha.dart@gs.com
Goldman Sachs & Co. LLC

Laura Cyr

+1(212)934-1001
laura.x.cyr@gs.com
Goldman Sachs & Co. LLC

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Contributing Authors: Samantha Dart Goldman Sachs & Co. LLC, Laura Cyr Goldman Sachs & Co. LLC.

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